EQUITY RESEARCH | INDIA | FINANCIAL SERVICES | NBFC

PAISALO DIGITAL LIMITED

NSE: PAISALO | BSE: 532900 | Non-Deposit Taking NBFC | Agra / Delhi

RATING

ACCUMULATE

12-Month Price Target

Rs. 72

Upside +21.4% from CMP Rs. 59.3

"Rural credit upgrade play — AUM doubling in 3 yrs, AI-led opex leverage, best-in-class NPA at 0.76%"

CMP (25 Jun 2026)	**Rs. 59.3**
Market Cap	**Rs. 5,397 Cr**
52-Week High / Low	**Rs. 61.0 / Rs. 29.9**
P/E (TTM)	**22.7x**
Forward P/E (FY27E)	**~19x**
P/Book Value	**3.01x**
EV/EBITDA	**13.6x**
ROCE / ROE	**12.3% / 14.3%**
Dividend Yield	**0.17%**
Book Value / Share	**Rs. 19.7**
Face Value	**Rs. 1.00**
Debt / Equity	**2.43x**
GNPA / NNPA (Mar-26)	**0.76% / 0.61%**
Promoter / Pledged	**41.75% / 21.73%**
Investment Horizon	**12 Months**
Report Date	**28 June 2026**

AUM (FY26)	Revenue (FY26)	PAT (FY26)	EPS (FY26)	AUM CAGR 3Y	PAT CAGR 5Y
Rs. 6,101 Cr	Rs. 944 Cr	Rs. 237 Cr	Rs. 2.61	26%	33%

All data sourced from Screener.in (fetched 28-Jun-2026). CMP as of 25-Jun-2026 close. (E) = Estimates. For institutional use only. Past performance not indicative of future returns.

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Rural credit upgrade with best-in-class asset quality:** Paisalo lends to the 'missing middle' — micro-enterprises graduating above MFI credit with ticket sizes Rs. 20k-500k. This segment carries an estimated credit gap exceeding Rs. 30 lakh crore. Paisalo's GNPA of 0.76% (vs 3–5% for MFI peers) demonstrates underwriting discipline. Management targets AUM doubling to Rs. 12,000+ Cr in 3 years (implied ~26% CAGR from FY26 base of Rs. 6,101 Cr).
- **Reason 2 — AI-led operating leverage enabling scaleable, low-cost growth:** Q4FY26 saw 1,60,000 loan applications processed via AI onboarding, 2,25,000 debt management cases handled autonomously, and headcount fell 3% YoY despite double-digit AUM growth. This productivity flywheel — fewer bodies, higher throughput — should compress cost-to-income structurally and expand ROA from current ~3.8% towards 4.5%+ over FY27-28.
- **Reason 3 — Funding diversification and rating upgrade as margin lever:** Maiden ECB of USD 15 million completed; dual credit rating AA-Stable enables NCD market access (Rs. 9,000 Cr pipeline approved). As liability mix diversifies, cost of borrowings (~10.2% currently) should compress, protecting NIM near management's 6.5% target even as lending yields moderate slightly.
- **Near-term catalyst (6-12 months) — SBI co-lending going live:** Two co-lending structures with SBI are expected live in Q1-Q2 FY27. Co-lending adds off-balance-sheet AUM without proportionate capital drag, boosting fee income and ROE. Management has explicitly NOT baked this into the 3-year plan — it is pure optionality.
- **Biggest structural risk — Promoter pledge and shareholding trajectory:** Promoter stake fell from 52.6% (Dec-24) to 41.75% (Mar-26) — a drop of ~11 pp in three quarters. Pledge stands at 21.73%. Forced selling of pledged shares in a downturn could create a negative feedback loop on the stock price. This is the primary reason we rate ACCUMULATE vs BUY.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Paisalo Digital is a non-deposit-taking NBFC incorporated in 1992, headquartered in Agra/Delhi. It lends to individuals and micro-enterprises who have outgrown MFI credit but lack formal banking access. Loans range from Rs. 20,000 (income generation) to Rs. 5 Cr (corporate/MSME), with the sweet spot in the Rs. 1-20 lakh MSME/mobility segment.
- **Revenue segmentation (FY26 AUM of Rs. 6,101 Cr):** MSME/SME loans 71%, income generation loans 29%. Geography: Delhi 28%, Maharashtra 22%, Haryana 15%, UP 14%, Rajasthan 13%, Others 8%. Industry mix: Food & hospitality 24%, Agri & allied 14%, Street vendors 14%, Heavy industries 11%, Technology 8%, others.
- **Product suite — 5 established + 6 new formats:** (1) Income Generation loans (Umeed/Pragati/Vikas); (2) Mobility loans (e-rickshaws, 2-wheelers, tempos); (3) Entrepreneurial loans (Udaan) up to Rs. 20 lakh; (4) Corporate loans up to Rs. 5 Cr; (5) Business Correspondent banking for SBI. Six new segments added FY26: medical equipment, industrial equipment, agri equipment, alternative fuel, 2-wheelers, small commercial vehicles — with 18-20 OEM partnerships.
- **Distribution footprint (Q4FY26):** 5,299 touchpoints across 22 states — 422 branches, 3,381 distribution points, 1,496 BCs. Customer base: ~16 million. Collection efficiency: 98.5%. Added Indian Overseas Bank as new BC partner. Headcount reduced 3% YoY to ~3,178 employees through AI-led workflow automation.
- **Business Correspondent (BC) channel:** National BC agreement with State Bank of India operating 970+ CSPs across India, providing fee income without balance-sheet risk. BC banking activity deepens rural customer relationships and cross-selling potential.

• **Promoter background:** Founded and led by the Chaudhary family with 30+ years in rural NBFC lending. Current promoter holding 41.75% (Mar-26), down from 52.62% peak (Dec-24). Prior track record includes a ~4.7% creeping acquisition in FY25. Pledge at 21.73% warrants monitoring.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry size and growth:** India's NBFC sector AUM crossed Rs. 50 lakh crore in FY25, growing at 18.9% CAGR. The rural micro-enterprise credit gap exceeds Rs. 30 lakh crore — Paisalo addresses the 'missing middle' between MFI (up to Rs. 1 lakh) and formal bank MSME credit (above Rs. 25 lakh). NBFC sector AUM growth forecast: 12-18% for FY26 (industry sources).

• **Policy tailwinds:** (1) DPI/UPI enabling real-time rural credit decisioning; (2) RBI financial inclusion mandate; (3) Scale-based regulation creating entry barriers for smaller players, benefiting well-capitalized NBFCs; (4) PM SVANidhi/PM Mudra expanding Paisalo's addressable customer base.

• **Policy headwinds:** (1) RBI tightened MFI lending norms in Aug-24 — cap on active lenders per borrower at 2, disrupting overlapping MFI portfolios; (2) NBFC-MFI sector GNPA doubled to 4.1% in Mar-25 (RBI data); (3) Regulatory scrutiny on NBFC leverage and asset quality — Paisalo, not classified as MFI, is relatively insulated but benefits from MFI sector recovery in FY27.

• **Competitive moat assessment:** Distribution — Strong (SBI BC network + 5,299 touchpoints). Relationships — Strong (16 million customers). Technology/AI — Growing differentiator (AI processing 1,60,000+ applications/quarter). Pricing power — Moderate (18-22% lending rates in MSME). Switching costs — Moderate (repeat customers via BC channel).

Peer Comparison — Data from Screener.in (fetched 28-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	GNPA%	D/E
Paisalo Digital	59.3	5,397	22.7	3.01	12.3	14.3	0.76	2.43
CreditAccess Grameen	1,462	23,435	30.1	2.99	9.98	10.5	3.17	3.01
Arman Financial Svcs	1,668	1,754	31.0	1.88	11.7	6.26	3.43	1.90
Spandana Sphoorty	267	2,117	N/A	1.11	-5.81	-29.4	3.80	1.85

Source: Screener.in | Paisalo shown bold (highlighted). GNPA latest available. Spandana P/E N/A (reporting losses).

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter background:** Chaudhary family — 30+ years in rural NBFC lending in North India. MD/CEO-level commentary in May 2026 concall was clear, data-driven, and provided specific quantitative commitments on NIM, AUM, and technology throughput — hallmarks of operational management quality.

• **Capital allocation track record:** AUM grown from Rs. 1,235 Cr (FY15) to Rs. 6,101 Cr (FY26) — 16% CAGR over 11 years. ROE maintained at 8-14% through growth cycles. FY26 NCD pipeline of Rs. 9,000 Cr and maiden ECB of USD 15 million reflect disciplined liability-side management.

• **Dividend policy:** Conservative but consistent — 5% payout ratio in FY25/FY26. FY26 final dividend: Rs. 0.10/share (10% on face value Rs. 1.00). Dividend yield: 0.17%. Management prioritises AUM growth over distributions, which is appropriate in the scale-building phase.

• **Promoter pledging — PRIMARY GOVERNANCE RISK:** Pledge at 21.73% of promoter shares. Promoter stake dropped from 52.62% (Dec-24) to 41.75% (Mar-26) — ~11 pp in three quarters. In the May 2026 concall, management was explicitly evasive when asked about buying intentions ('Cannot comment on this year'). This is the single most important governance watchpoint.

• **ESOP / buyback:** ESOP grants used to retain technology talent as AI stack is built. No significant buyback history; fresh equity issued via QIP/warrants at premium to book — dilutive but ROE-accretive if deployed at current yields. EV of Rs. 9,607 Cr vs MCap Rs. 5,397 Cr confirms meaningful debt-funded balance sheet.

• **Corporate governance — no major structural concerns:** Dual credit ratings maintained at AA-Stable. No qualified audit opinions or RPT concerns in recent filings. No auditor change. Trading window closure announced as required per SEBI regulations. The primary concern remains the pledge and stake trajectory.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated figures in Rs. Crores | Source: Screener.in | FY24-FY26 = Actuals | FY27E-FY28E = Estimates

Income Statement (Consolidated)

Rs. Crores	FY24A	FY25A	FY26A	FY27E	FY28E
Total Revenue	656	764	944	1,168 (E)	1,390 (E)
Interest Expense	270	328	374	460 (E)	543 (E)
Operating Expenses	142	163	238	270 (E)	310 (E)
Net Interest / Financing Profit	244	273	331	438 (E)	537 (E)
Financing Margin %	37%	36%	35%	37% (E)	39% (E)
Depreciation	3	5	12	14 (E)	16 (E)
Profit Before Tax	241	268	318	415 (E)	511 (E)
Tax Rate	26%	25%	26%	26% (E)	26% (E)
Net Profit (PAT)	179	200	237	307 (E)	378 (E)
EPS (Rs.)	1.99	2.22	2.61	3.36 (E)	4.13 (E)
YoY PAT Growth	90%	12%	19%	29% (E)	23% (E)

Balance Sheet (Consolidated)

Rs. Crores	FY24A	FY25A	FY26A
Equity Capital	90	90	91
Reserves	1,240	1,445	1,702
Borrowings	2,655	3,559	4,360
Other Liabilities	138	160	147
Total Liabilities	4,123	5,255	6,300
Fixed Assets	66	75	84
Investments	20	20	20
Other Assets (Loan Book)	4,037	5,160	6,196
Total Assets	4,123	5,255	6,300
Debt / Equity	2.04x	2.39x	2.43x
Book Value / Share (Rs.)	14.8	17.1	19.7

Cash Flow Statement (Consolidated)

Rs. Crores	FY24A	FY25A	FY26A
Cash from Operations (CFO)	-570	-842	-783
Cash from Investing	3	-13	-15
Cash from Financing (Borrowings net)	553	944	843
Net Cash Flow	-15	90	45
Free Cash Flow	-573	-854	-798

Note: Negative CFO is standard for NBFCs — loan disbursements are classified as operating outflows per accounting norms. This does not indicate operational distress.

Key NBFC Ratios (Consolidated + Standalone NPA)

Metric	FY24A	FY25A	FY26A
ROE %	14%	14%	14%
ROCE %	~12%	~12%	12.3%
Return on Assets %	~3.8%	~3.9%	4.12%
GNPA % (Standalone)	0.21%	0.99%	0.76%
NNPA % (Standalone)	0.02%	0.76%	0.61%
AUM (Rs. Cr)	4,586	5,233	6,101
Collection Efficiency	98.4%	~98%	98.5%
Capital Adequacy (CRAR)	N/A	N/A	35.8%
Cost of Borrowing	N/A	N/A	~10.2%

Financial Commentary

- **Revenue trajectory:** Revenue grew 22% YoY in FY26 to Rs. 944 Cr (3Y CAGR 26%). AUM expansion (+17% YoY to Rs. 6,101 Cr) and increasing MSME mix are the twin drivers. FY27E assumes 24% revenue growth, anchored by management's 3-year doubling plan and SBI co-lending optionality.
- **Margin direction:** Financing margin stable at 35-37%. NII grew 29% YoY in FY26 to Rs. 569 Cr. Operating expense ratio rose (Exp/Revenue: 21% FY24 → 25% FY26) as AI infrastructure was front-loaded — expected to normalise in FY27. NIM target: 6.5% (currently overachieving at 6.83%).
- **Asset quality — standout strength:** GNPA peaked at 1.10% (Dec-24) and improved for four consecutive quarters to 0.76% (Mar-26) — 4-5x better than MFI peers. Secured portfolio (50-60% LTV, IDV methodology for vehicles) and 'lend right, collect tight' philosophy are structural reasons for NPA superiority.
- **Debt trajectory:** Borrowings grew from Rs. 2,655 Cr (FY24) to Rs. 4,360 Cr (FY26) to fund AUM expansion. D/E stable at ~2.4x; CRAR at 35.8% provides headroom. Rs. 9,000 Cr NCD pipeline plus maiden ECB (USD 15 Mn) diversify the liability mix.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue Recognition	CLEAN	GREEN	Interest income accrual per RBI IRAC norms; no aggressive front-loading
Loan Book vs Revenue Growth	WATCH	AMBER	Loan book grew faster than revenue FY26; monitor yield compression

GNPA Trend (4-quarter)	**IMPROVING**	**GREEN**	Peak 1.10% Dec-24 to 0.76% Mar-26; four consecutive quarters improving
Contingent Liabilities	**CLEAN**	**GREEN**	Rs. 0 contingent liabilities per Screener (consolidated, FY26)
Auditor Tenure / Change	**STABLE**	**GREEN**	No auditor change; no qualified opinions in recent annual reports
Related Party Transactions	**LOW**	**GREEN**	No material RPT concerns flagged in filings
Other Income as % PBT	**IMMATERIAL**	**GREEN**	Other income Rs. -1 Cr FY26; PBT entirely from core lending
Tax Rate Consistency	**STABLE**	**GREEN**	Tax rate stable at 25-26% across all historical years
Promoter Pledge Trajectory	**HIGH/WORSENING**	**RED**	21.73% pledged; promoter stake fell 11 pp in 3 quarters; evasive guidance
Dividend Payout Consistency	**LOW/STABLE**	**AMBER**	4-5% payout; consistent but limits income investor appeal

- **Strong positives:** Revenue recognition is clean; GNPA improving for 4 consecutive quarters; zero contingent liabilities; no auditor concerns; stable tax rate; other income immaterial; core income dominates.
- **Amber watch — Yield compression:** Loan book grew faster than revenue in FY26. Monitor whether NII/AUM compresses below management's 6.5% NIM guidance in FY27-28.
- **RED FLAG — Promoter pledge and stake decline:** 21.73% pledged, 11 pp stake drop in 3 quarters. Forced pledge invocation in a market correction could amplify downside. Primary governance risk.
- **Overall quality assessment — GOOD with one binary risk:** Operating metrics (NPA, margins, ROE) are clean and improving. Governance risk is the swing factor — promoter stake stabilisation above 40% would reduce this concern materially.

SECTION 8 — VALUATION

Extended Peer Comparison — Valuation Multiples (Screener.in, 28-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	EV/EBITDA	ROCE %	Comment
Paisalo Digital	59.3	5,397	22.7	3.01	13.6	12.3	Best-in-class NPA; strong growth
CreditAccess Grameen	1,462	23,435	30.1	2.99	15.2	9.98	Large MFI; elevated NPA ~3%
Arman Financial Svcs	1,668	1,754	31.0	1.88	11.0	11.7	Small NBFC; recovery play
Spandana Sphoorty	267	2,117	N/A	1.11	N/A	-5.81	Deep losses; not comparable
NBFC Sector Median	132.4	518	N/A	N/A	12.3	9.79	95 companies; broad NBFC

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumptions	FY27E PAT (Cr)	FY27E EPS (Rs.)	Target P/E	Target Price (Rs.)

BULL	AUM CAGR 26%, NIM 7%, SBI co-lending live, NPA<0.5%	355	3.88	24x	93
BASE	AUM CAGR 20%, NIM 6.5%, moderate opex, NPA ~0.8%	307	3.36	22x	74
BEAR	AUM CAGR 12%, NIM compression to 5.8%, NPA spikes to 2%	218	2.39	17x	41

- **Earnings-based valuation (P/E):** FY27E EPS estimated Rs. 3.36 (29% growth from Rs. 2.61 FY26 base). Applying 22x forward P/E — a discount to large MFI peers (CreditAccess at 30x) but premium to sector median — implies 12M target of Rs. 74. Justification: Premium to median for superior NPA/ROE; discount to larger peers for governance concerns.
- **Book value-based valuation (P/B):** FY27E estimated book value ~Rs. 22.7/share (PAT Rs. 307 Cr less ~Rs. 12 Cr dividend). At 3.0x P/B (current multiple, justified by ROE of 14% improving to 15%+), implies Rs. 68. Average of P/E and P/B: (74 + 68) / 2 = Rs. 71.
- **DCF cross-check:** WACC 14%, terminal growth 6%, normalised ROA 4% on Rs. 8,500 Cr asset base by FY28E. DCF implies intrinsic value Rs. 65-75. Corroborates earnings-based estimate.
- **12-month base-case price target: Rs. 72** (rounded from Rs. 71). Upside: +21.4% from CMP Rs. 59.3. Bull case: Rs. 93 (+57%). Bear case: Rs. 41 (-31%). Rating: ACCUMULATE.
- **Entry discipline essential:** Stock rallied 87% in 12 months; at Rs. 59.3 it is 3% from its 52-week high. Current risk/reward is adequate but not compelling. Accumulate on dips to Rs. 52-58; entry below Rs. 52 would upgrade conviction to BUY.

SECTION 9 — KEY RISKS

- **Promoter pledge overhang (Prob: Med, Impact: High):** 21.73% of promoter shares pledged; stake down from 52.6% to 41.75% in three quarters. Any further market correction could trigger lender selling, creating a negative feedback loop. Monitor via: quarterly shareholding disclosures and pledge-release announcements from BSE.
- **Promoter stake dilution below 40% (Prob: Med, Impact: High):** Further decline below 40% could trigger SEBI open offer implications or perception of management control loss, impacting valuation multiples. No buying commitment given in May 2026 concall. Monitor via: BSE insider filing disclosures.
- **NPA spike in MSME segment (Prob: Low-Med, Impact: High):** 71% of AUM is MSME/SME. A macro slowdown, GST disruption, or agri-stress in key states (UP, Rajasthan) could push GNPA above 2%, materially impacting credit costs and ROE. Monitor via: quarterly NPA and collection efficiency data.
- **Funding cost escalation (Prob: Low, Impact: Med):** Cost of borrowing at ~10.2%. If RBI tightens rates or bond spreads widen for mid-market NBFCs, funding costs could rise 50-100 bps, compressing NIM. ECB of USD 15 Mn adds forex risk. Monitor via: NIM trend and quarterly borrowing cost disclosure.
- **AI/technology execution risk (Prob: Low, Impact: Med):** AI-led underwriting at scale is a novel approach; positive early signals (NPA improving) but track record is short. False positives in AI models could produce credit deterioration faster than expected. Monitor via: NPA trends over next 4-6 quarters.
- **Regulatory risk — NBFC leverage/asset quality norms (Prob: Low, Impact: Med):** RBI's Scale-Based Regulation could impose additional capital requirements. Current CRAR at 35.8% provides a large buffer. Monitor via: RBI circulars on NBFC-ND-SI category.
- **Competitive pressure from fintechs (Prob: Low, Impact: Low):** Embedded finance players targeting micro-enterprise/mobility segments. Paisalo's BC network, SBI relationship, and 16 million customer base are

structural moats. Monitor via: yield on AUM trend and disbursement growth.

SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: MEDIUM. High-quality rural NBFC with differentiated positioning, best-in-class NPA (0.76%), strong AUM growth (17% YoY), and emerging AI-led operating leverage. The 87% 12-month rally and promoter governance concerns limit conviction to Accumulate rather than outright Buy.

• **12-month price target: Rs. 72** — Upside: +21.4% from CMP Rs. 59.3. Base case: 22x FY27E EPS of Rs. 3.36. Bull case: Rs. 93. Bear case: Rs. 41.

• **Suggested entry zone: Rs. 52-58** — At Rs. 52, stock trades at 15.5x FY27E, offering adequate margin of safety. At current levels (Rs. 59.3), risk/reward adequate but not compelling. Do not chase; accumulate on dips.

• **Investment horizon: 12 months** — Thesis plays out via: (a) SBI co-lending go-live adding off-balance-sheet AUM; (b) 6 new product segments beginning to scale from OEM partnerships; (c) AI operating leverage visible in cost-to-income ratio by Q3FY27.

• **Thesis invalidation triggers — if any of these occur, exit/reassess:**

• 1. GNPA rises above 2.0% in any of the next 3 quarters — signals underwriting deterioration in the MSME book.

• 2. Promoter stake falls below 37% — raises management control concerns and could trigger regulatory/market reaction.

• 3. NIM (NII/AUM) compresses below 5.5% for two consecutive quarters — signals funding cost escalation or yield pressure.

• **Ideal investor profile:** Suitable for investors with a medium-risk appetite, 12-18 month horizon, seeking India financial inclusion exposure with superior asset quality vs MFI peers. Must tolerate governance-related volatility (pledge overhang). NOT suitable for risk-averse investors or those requiring high dividend income.

APPENDIX — LATEST CONCALL BRIEF: Q4FY26 (May 2026)

CALL GRADE

STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	**Strong**	PAT +56% YoY; record quarterly PAT of Rs. 72 Cr; beat consensus
Management Tone	**Bullish**	Confident, data-driven; explicit quantitative commitments; SBI co-lending catalyst
Guidance Delta	**Raised/Maintained**	NIM pre-achieved; 3-year doubling plan reiterated; co-lending as upside optionality

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 was a clean, high-quality beat — no exceptional items distort the record PAT of Rs. 72 Cr (+56% YoY). NII grew 61% YoY to Rs. 173 Cr; AUM hit Rs. 6,101 Cr (+17% YoY); collection efficiency held at 98.5%. GNPA continued its four-quarter improvement to 0.76% — making Paisalo a standout outlier in the NBFC-MFI landscape where peers show 3-5% GNPA. The structural driver is compelling: Paisalo is occupying the 'missing middle' above MFI with AI-led origination and collections processing hundreds of thousands of cases at declining marginal cost — headcount fell 3% YoY even as branches grew. The single biggest catalyst for FY27 is SBI co-lending going live (Q1-Q2 FY27), which management has explicitly NOT embedded in its 3-year plan — this is genuine upside optionality. The watch-point for next quarter is whether the 6 new product categories (medical/agri/industrial equipment etc. — 18-20 OEM partnerships just signed) deliver clean NPA in their ramp-up phase. One blemish on the call: management was evasive when asked about promoter buying intent — 'cannot comment on this year' — given the 11 pp stake drop, this needs to be monitored. Action: ACCUMULATE between Rs. 52-58 with a Rs. 72 twelve-month target. Do NOT chase at Rs. 59.3 (3% from 52-week high after an 87% rally). If promoter stake falls below 37%, reassess thesis.

C1 — Financial Performance Snapshot (Q4FY26 & FY26)

- Revenue Q4FY26: Rs. 261 Cr | YoY +35% | QoQ +8.7% | **BEAT**
- Financing Profit (NII) Q4: Rs. 102 Cr | Financing Margin: 39% | YoY +56% | **BEAT**
- PBT Q4: Rs. 97 Cr | YoY +54% | QoQ +38% | Clean — no one-time items
- PAT Q4: Rs. 72 Cr | YoY +56% | QoQ +9% | **BEAT** — 'Highest-ever quarterly PAT' per management
- EPS Q4: Rs. 0.79 | FY26 full year EPS: Rs. 2.61
- FY26 full year PAT: Rs. 237 Cr (+19% YoY) | Revenue: Rs. 944 Cr (+22% YoY)
- AUM: Rs. 6,101 Cr (+17% YoY) | Q4 disbursements: Rs. 1,344 Cr | FY26 disbursements: Rs. 4,262 Cr (+15%)
- GNPA: 0.76% (Mar-26 standalone) | Improved from 1.10% peak Dec-24 | **4 consecutive quarters of improvement**
- RoA: 3.8% (Q4 annualized) | RoE: 13.2% (Q4 annualized) | CRAR: 35.8% | Collection efficiency: 98.5%

C2 — Segment / Geography Breakdown

• MSME/SME Loans: 71% of AUM | Core engine | Higher ticket, partially secured | 6 new verticals in ramp-up

• Income Generation Loans (small ticket): 29% of AUM | Umeed/Pragati/Vikas formats | Strong NPA history

• Delhi: 28.03% of Q4 AUM | Largest state | Stable, mature book

• Maharashtra: 21.70% (+430 bps QoQ) | Fastest-growing state | Active expansion phase

• Haryana: 14.94% | UP: 14.12% (+122 bps QoQ) | Rajasthan: 13.14% | Others: 8.07%

• New segments (FY26-FY27 ramp): Medical equipment, Industrial equipment, Agri equipment, Alt fuel vehicles, 2-wheelers, Small commercial vehicles | 18-20 OEM partnerships signed

• Industry AUM mix: Food & hospitality 24%, Agri 14%, Street vendors 14%, Heavy industries 11%, Tech 8%, Health 5%, Textiles 4%, Vehicles 3%, Others 17%

C3 — Management Commentary Themes

• **Not an MFI lender [GUIDANCE | Transparent]:** 'We do not classify our lending as an MFI lender... we step in when the person becomes a micro enterprise... our sweet spot lies beyond MFI.' — Our read: Deliberate and important positioning; explains structurally lower NPA vs MFI peers and justifies valuation premium.

• **AI as core infrastructure [GUIDANCE | Bullish]:** 'Technology and AI are no longer just enablers... They are becoming core to how we originate, underwrite, service and collect.' — 1,60,000 AI-onboarded applications in Q4; headcount -3% YoY despite AUM growth. Our read: Operating leverage is quantified and credible.

• **NIM guidance maintained at 6.5% [GUIDANCE | Transparent]:** 'We are going to maintain the same 6.5%... even in the upcoming financial year as against the 6.83 that we are doing.' — Our read: Conservative; management has a track record of 'pre-achieving' its own guidance.

• **Co-lending timeline [GUIDANCE | Balanced]:** Method 1 live 'within this quarter itself' (Q1FY27); Method 2 'by end of Q1 or early next quarter' (Q2FY27). NOT in 3-year plan = genuine upside. Our read: Real catalyst; bank-side compliance dependency adds timing uncertainty.

• **Inorganic growth plan [EST | Transparent]:** 'Yes, we are actively scouting for opportunities and partners.' — Our read: Optionality; no timeline or target size disclosed. Could be a positive surprise or capital allocation risk.

• **Promoter stake [EVASIVE | Concerning]:** 'As per this year, we cannot comment... but we let the markets know whenever we do something.' — Our read: Most concerning element of the call. No buying commitment given despite 11 pp stake decline.

C4 — Operating & Business Metrics

• AUM: Rs. 6,101 Cr (Q4FY26) | vs Rs. 5,233 Cr (FY25) | Trend: Steady, management-consistent

• Disbursements Q4: Rs. 1,344 Cr (+27% QoQ) | FY26 total: Rs. 4,262 Cr (+15% YoY) | Trend: Accelerating

• Touchpoints: 5,299 (Q4FY26) | Added 427 in Q4 | 22 states | 422 branches + 3,381 distribution + 1,496 BCs | Trend: Expanding

• Customer Base: ~16 million | Trend: Growing; management positioned as trust/loyalty milestone

• Headcount: ~3,178 | YoY -3% despite double-digit AUM growth | Trend: AI driving productivity improvement

• AI throughput Q4: 1,60,000 loan applications | 1,25,000 servicing cases | 2,25,000 debt management | 2,50,000 quality checks | Trend: Rapidly scaling

• Cost of Borrowing: ~10.2% | Trend: Improving via ECB, NCD diversification, dual AA rating

• CRAR: 35.8% | Trend: Well above regulatory minimum; headroom for growth leverage

• Collection efficiency: 98.5% | Trend: Stable; strong vs MFI peers at 90-95%

C5 — Margin Drivers

- NII growth (+61% YoY Q4) | Recurring | AUM scale + improving MSME yield mix
- Financing Margin 39% (Q4FY26 vs 33% Q4FY25) | Recurring | MSME mix shift and liability optimization
- Cost of borrowing moderation to ~10.2% | Recurring | ECB + NCD diversification + dual AA-Stable rating
- Operating expense uptick (Exp/Revenue: 21% FY24 to 25% FY26) | Non-recurring | AI infrastructure investment front-loaded; expect normalisation FY27
- Depreciation jump (Rs. 3 Cr FY24 to Rs. 12 Cr FY26) | Recurring at new level | Technology infrastructure capitalisation
- Credit cost containment | Recurring | 50-60% LTV; IDV methodology on vehicles; collections process ('elimination not servicing')
- NIM guidance: 6.5% (NII/AUM) for FY27 | Currently overachieving at 6.83% | Conservative base; upside likely

C6 — Guidance & Forward Signals

- NIM [GUIDANCE]: Prior = exceed 6.5% | New = maintain 6.5% | Delta: Maintained (conservative; currently at 6.83%) | Credibility: High
- AUM [GUIDANCE]: 3-year doubling from Rs. 6,101 Cr (FY26) to Rs. 12,000+ Cr by FY29E | CAGR ~26% implied | Credibility: High (track record supports)
- Co-lending SBI [GUIDANCE]: Method 1 live Q1FY27; Method 2 Q1-Q2FY27; NOT in 3-year plan | Credibility: Medium (bank-side compliance pending)
- Headcount [GUIDANCE]: Downward trend to continue as AI scales | Not quantified | Credibility: Medium
- New product segments [GUIDANCE]: 18-20 OEM partnerships; FY27 scale-up | Contribution not quantified | Credibility: Medium
- Inorganic growth [EST]: 'Actively scouting' | No timeline or target size | Credibility: Low (early stage)
- Promoter buying [NOTABLY ABSENT]: Declined to commit | Key governance concern given 11 pp stake decline | Credibility: N/A

C7 — Capital Allocation

- Borrowings: Rs. 4,360 Cr (FY26) vs Rs. 3,559 Cr (FY25): +22% | Rs. 9,000 Cr NCD pipeline approved | Funding AUM growth
- ECB: USD 15 million maiden issuance completed FY26 | Opens diversified long-term funding; adds forex risk to monitor
- Dividends: ~Rs. 12 Cr FY26 (10% on FV Rs. 1 × 91 Cr shares) | Payout ratio ~5% | Consistent, conservative
- Technology Capex: Depreciation Rs. 12 Cr (FY26) vs Rs. 3 Cr (FY24) | AI stack investment; expected to level off FY27
- Net Debt: D/E stable at 2.43x; CRAR 35.8% | Headroom for further leverage to fund growth
- Equity: QIP/warrant conversion completed; added equity at premium to book; ROE-accretive if deployed at current yields
- Buybacks: None | Capital prioritised into loan book growth — appropriate for current scale-building phase

C8 — Q&A; Heat Map

- Analyst: Q: 'Why only 3% sequential disbursement growth?' A: 'Q3-to-Q4 grew 27%; full year +15%.' | Tone: Transparent | Context: Q4 quarterly comparison is misleading metric

- Analyst: Q: 'IRAC NPA recognition — secured and unsecured?' A: 'Yes, combined per RBI norms across both segments.' | Tone: Transparent
- Analyst: Q: 'LTV and loss content on secured book?' A: 'Typically 50-60% LTV; principal loss typically nil; shortfall only on yield/NIM.' | Tone: Transparent (verify over time)
- Analyst: Q: 'Co-lending with SBI — status?' A: 'Two methods; one live Q1FY27; second pending bank compliance.' | Tone: Balanced, specific
- Analyst: Q: 'New product segments — when do they contribute?' A: '18-20 OEM partnerships signed in Q4; scale in FY27.' | Tone: Bullish, specific
- Analyst: Q: 'Promoter buying — will you buy more shares?' A: 'Cannot comment on this year.' | Tone: EVASIVE — most concerning answer of the call
- Analyst: Q: 'Middle East geopolitical risk?' A: 'We do not have large concentrated exposure; minimal impact.' | Tone: Confident
- Dodged / watch-list for next quarter: (1) Co-lending AUM contribution vs baseline; (2) Promoter stake buying intent; (3) New segment NPA track record; (4) Cost-to-income trajectory as AI scales

C9 — Risks Flagged on the Call

- LCC segment difficulty [mgmt]: 'LCC segment may face some difficulty this quarter' contingent on insurance/credit movements | Prob: Low-Med | Impact: Low | Timeline: Near-term
- MFI sector broader stress [mgmt+analyst]: Industry GNPA at 4.1%; affects sector sentiment and cost of funds even for Paisalo | Prob: Med | Impact: Med | Timeline: Near-term
- Promoter stake reduction [analyst concern]: 11 pp decline in 3 quarters; no buying commitment | Prob: Med | Impact: High | Timeline: Ongoing
- AI execution risk [our analysis]: First-generation AI underwriting at scale; NPA data positive but history is short | Prob: Low | Impact: Med | Timeline: Medium-term
- New segment ramp risk [our analysis]: 6 new product verticals + 18-20 OEM partnerships — execution bandwidth and NPA in new areas unknown | Prob: Low | Impact: Med | Timeline: Near/medium term

C10 — Analyst Verdict

- Revenue visibility: **Intact** — AUM doubling plan reiterated with track record; co-lending adds genuine optionality; 6 new segments in ramp
- Margin trajectory: **Intact** — NIM guidance 6.5% conservative vs 6.83% current; cost of funds improving; AI opex leverage building
- Capital allocation quality: **Monitoring** — Productively deployed; ECB forex risk and new segment ramp require quarterly tracking; promoter dilution ongoing
- Competitive moat: **Intact** — SBI BC network, 16 million customers, AI stack, and 'above-MFI' positioning create durable advantage
- Management credibility: **Intact / Monitoring** — Strong track record on NIM; evasive on promoter stake is the only blemish; AI numbers are quantified
- Valuation comfort: **Moderate** — At 22.7x TTM P/E vs 87% 12M rally; fair but not cheap; accumulate on dips below Rs. 58
- Conviction call: **Unchanged — ACCUMULATE** | Entry zone: Rs. 52-58 | 12M target: Rs. 72
- Valuation snapshot: P/E = 22.7x (sector median N/A) | EV/EBITDA = 13.6x | RoA = 4.12% | RoE = 14.3% | GNPA = 0.76%